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Macroeconomic commentary on the Chinese trade surplus

Marten Walk

Article:	China's September exports soar, putting $1 trillion trade surplus in sight
Source:	https://www.reuters.com/world/asia-pacific/chinas-exports-surge-363-yy-september-imports-up-31-2026-10-14/
Accessed:	1 November 2026
Published:	14 October 2026
Word count:	967 words

China's September exports soar, putting $1 trillion trade surplus in sight

by Yukun Zhang, Ellen Zhang and Liz Lee

BEIJING, Oct 14 (Reuters) - China's trade surplus widened more than expected in September as exports surged, keeping the country on track to surpass last year's record surplus and likely intensifying trade tensions with major partners.

Global demand for semiconductors and green-tech products has helped keep China's factories humming, easing pressure on policymakers to shore up economic growth against subdued domestic demand and investment.

Exports soared 36.3% from a year earlier, outstripping August's 25.0% rise and far exceeding expectations for 25.5% growth, customs data showed on Wednesday. September's growth was the fastest since February when exports expanded 39.6%.

Imports also remained robust, up 31.0% compared with 28.2% growth in August and economists' forecasts of a 24.5% gain.

Wang Jun, a vice customs minister, told a press briefing there would be external uncertainties including geopolitical conflicts that might affect trade, but added there was foundation and support for continued growth in exports and imports in the fourth quarter.

Analysts expect trade to remain buoyant, with tech products continuing to drive exports and imports.

"Key trade ties look set to remain stable through year-end, which should keep this year's key growth engine humming," said Lynn Song, ING's chief Greater China economist.

China's yuan held steady against the dollar on Wednesday, underpinned by solid exports data, while stocks (.CSI300) fell.

Rising Trade surplus

China's trade surplus topped $1 trillion in November last year and posted a record $1.189 trillion for the whole year.

The surplus reached $938.11 billion in the first nine months of this year, putting the manufacturing powerhouse on course to hit the $1 trillion mark sooner unless exports slow sharply in the final quarter. For now, such a slowdown appears unlikely.

September's trade surplus widened to $133.53 billion, helped by a 20-month-high $34.01 billion surplus with the United States and a larger $34.8 billion surplus with the European Union.

A deal with the EU to limit Chinese exports of hybrid vehicles to the bloc, announced earlier this month, is likely to weigh on China's booming auto trade over time. But with the trade measures likely being laid out in December, exporters may drive up shipments to beat the deadline.

"The widening trade surplus with Europe could spur broader EU restrictions beyond last week's narrow deal, though we expect the resulting economic fallout for China to be small," said Capital Economics's China economist Nguyen Hoang Nam.

President Xi Jinping's September summit with US President Donald Trump in Washington secured an extension to their tariff truce and an agreement to cut tariffs on $30 billion worth of goods from each side.

High-tech goods and cars continued to underpin shipments, with semiconductor exports rising 108.1% year-on-year in value terms in the first nine months. Auto exports expanded more than 50% in both value and volume terms.

With the global build-out of AI infrastructure showing little sign of slowing, analysts expect demand for Chinese-made technology products, including semiconductors, to remain robust.

China's factory-gate prices rose at their fastest pace in more than four years in September, separate data showed, while consumer inflation edged up but lagged forecasts, underscoring an uneven recovery.

The Canton Fair, China's largest trade exhibition, kicks off on Thursday for Chinese manufacturers to showcase their products to foreign buyers.

In commodities, September crude oil imports fell 21.5% year-on-year in volume terms, while soybean imports were down 7.7% from the same month last year.

Risks Loom

The strength in exports indicates that policymakers could still rely on moderate policy support to meet China's 4.5% to 5% annual GDP growth target.

Risks of curbs on Chinese exports loom as China continues to defend its industrial and monetary policies, which Washington and Brussels blame for Beijing's massive trade surplus.

China's central bank last week pushed back against criticism of its exchange-rate policy with a lengthy statement, arguing that it never pursued competitive depreciation and rejecting claims that China keeps the yuan artificially weak to gain a trade advantage.

Any major hit to exports, a key growth engine, could prompt policymakers to step up stimulus measures to address weak domestic demand and the years-long property market downturn.

Commentary

The chinese trade balance is on track for a record surplus this year. As Zhang et al. (2026) report, it is expected surpass last years record surplus, reaching $938 billion in the nine months of 2026. Driven by global demand for green technology and semiconductors, these exports are set to play a significant role in achieving the anual growth target of 4.5% to 5%.

But how does the transition from higher exports to output growth work? To answer this question, I will apply the IS-TR model, first setting out its predictions for an export boom and then asking whether China's experience matches them.

A trade shock in the Textbook model

The IS-TR-Mundell-Fleming model (compare Burda and Wyplosz (2022), ch. 11) extends the standard IS-TR model of a closed economy to include the international financial market (IFM).

In the model with a floating exchange rate, such as in China [1], an increase in exports has the following effects (see Figure 1):

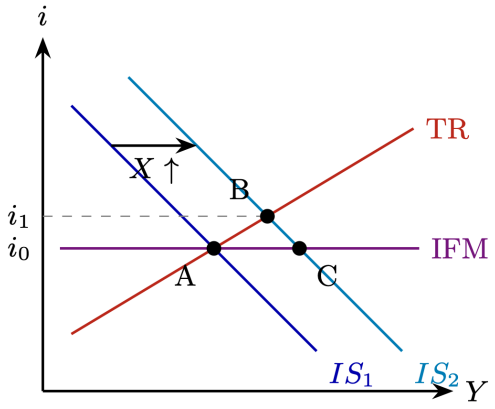


Figure 1: Initial shock

First, it shifts the IS curve to the right ($IS_1 \rightarrow IS_2$), as exports form part of the Primary Current Account ($PCA = X - M$). The resulting increase in output widens the output gap, generating inflationary pressures as producers respond to stronger demand by raising prices. A central bank following the Taylor Rule (TR) would then react by increasing interest rates. In Figure 1, this adjustment is represented by the movement from point A to point B along the upward-sloping TR curve. Point C, where IS meets the IFM line, would be reached only if the rate stayed at i . Since TR responds, C is unattainable.

At point B, the domestic interest rate is above the IFM Line ($i_1 > i_0$). The interest rate differential attracts foreign investment seeking higher returns. To invest in domestic assets, foreign investors must acquire the domestic currency, the renminbi in China's case. The resulting capital inflows put upward pressure on the currency, and cause it to appreciate. This in turn reduces external competitiveness of chinese exports and increase competitiveness of imports ($NX \downarrow$). Consequently, the PCA and desired demand decline, shifting the IS curve back to the left ($IS_2 \rightarrow IS_3$). This adjustment continues until the economy returns to its initial equilibrium at point A (see Figure 2).

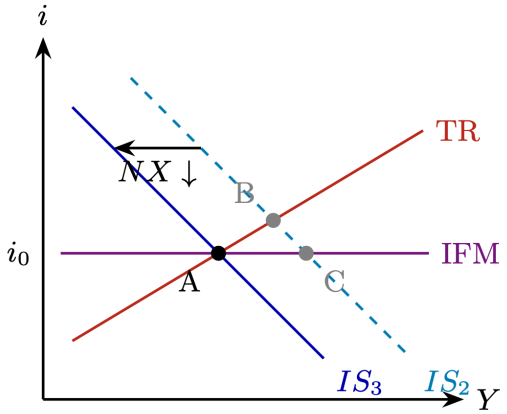


Figure 2: Adjustment

To conclude: an increase in the PCA has no lasting effect on output. In the equilibrium, output is only determined by the intersection of the TR and IFM curves. The growth in exports will ultimately be neutralised by the exchange rate apreciation.

Why, then, does the predicted adjustment not occur in China, which has recorded persistent trade

[1] The IMF refers to the chinese monetary regime as "managed floating exchange rate" (Das 2019)

surpluses for more than a decade [2]?

Adapting the model to China

The textbook model rests on several assumptions, two of which are particularly difficult to reconcile with China's economic environment.

First, the model assumes perfect capital mobility and interest rate parity, which are reflected in the horizontal IFM curve. In China, however, capital controls restrict the free movement of capital across borders (Das 2019). Furthermore, China's managed exchange-rate regime allows the authorities to influence the renminbi's value, potentially preventing the appreciation (the article refers to the concerns about competitive currency devaluations). Consequently, the IFM relationship would be less restrictive in practice than the textbook model suggests.

Second, the model assumes that the central bank follows a Taylor Rule. This implies that an increasing output gap generates inflationary pressure, prompting the central bank to raise interest rates. However, this relationship appears weaker in China. The article mentions rising factory-gate prices, but that consumer inflation lagged forecasts, suggesting a limited pass-through of production costs to consumer prices. Moreover, the benchmark Loan Prime Rate of the Peoples Bank of China has remained unchanged for 17 consecutive months (Reuters 2026). This may indicate that the central Bank does not respond to inflationary pressures with a conventional Taylor Rule.

Together, this could be illustrated by slightly adjusting the diagram in Figure 3. The TR curve is drawn flatter, almost horizontally, to reflect the weaker response of monetary policy to the output gap. The IFM line is represented as a dashed line to indicate that the relationship between domestic and international interest rates is less strict due to capital controls.

In this model, following an increase in foreign demand for exports, the IS curve shifts to the right. Since the central bank does not significantly increase interest rates ($i_0 \approx i_1$) and the managed exchange rate limits the usual currency appreciation, the adjustment predicted by the textbook model

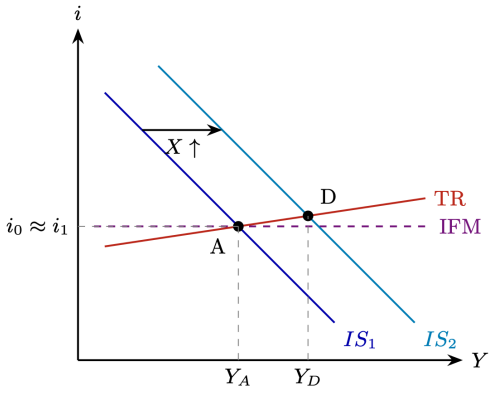


Figure 3: Adapted model

is weakened. The economy can therefore reach the new point D, close to the previously unattainable point C, where output is higher than at the initial equilibrium A ($Y_D > Y_A$).

However, this figure is purely illustrative. The weakened relationship underlying the IFM line can hardly be represented in the graphic, and the functional form of the Central Bank response might not be linear. Other monetary policy objectives, which are not included in the Taylor Rule, can aslo not be represented in this model. The actual shape of both relationships is therefore more complex than the diagram suggests.

Conclusion

In conclusion, the IS-TR-Mundell Fleming model predicts that an increase in exports will eventually be offset by currency appreciation, bringing output back to its initial level. However, China's capital controls and distinct monetary policy framework weaken the adjustment mechanisms assumed by the model. This helps explain how China has maintained substantial trade surpluses over recent years, which may persist as foreign demand for Chinese goods remains strong (as analysts cited in Zhang et al. (2026) suggest). Consequently, policymakers in Brussels and Washington cannot expect a natural adjustment to solve their problems with the chinese trade surplus.

[2] as deomonstrated by Lavenant and Pluyaud (2026)

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